

Olympiad Test Paper — Social Science (Class 7)

Chapter 20: Banks and the Magic of Finance

Subject	Social Science (NCERT Class 7)
Chapter	20 — Banks and the Magic of Finance
Total Questions	60 (Multiple Choice, single correct)
Maximum Marks	240
Suggested Time	90 minutes

Marking scheme: +4 for each correct answer · -1 for each wrong answer · 0 if unattempted.

Instructions: Each question has four options (A), (B), (C), (D); exactly one is correct. Watch the classic traps: a bank does NOT just store money in a locker - it lends most deposits out as loans (so your savings are not idle); the RBI is the central 'banker to banks', NOT a bank where ordinary people open accounts; shares can rise OR fall and carry real risk, unlike a safe fixed-interest savings deposit; and you must NEVER share your OTP, PIN or password - a genuine bank never asks, and fraud is reported on helpline 1930. Do not write on this paper — mark answers on your answer sheet.

1. 'Financial infrastructure' is:

- (A) the roads and bridges of a country
- (B) the schools and hospitals of a country
- (C) the network of banks, payment systems, stock markets and institutions that move and manage money
- (D) the army and the police

2. Financial infrastructure is said to _____ physical infrastructure.

- (A) replace
- (B) complement
- (C) destroy
- (D) have nothing to do with

3. Which is part of financial infrastructure?

- (A) highways and ports
- (B) schools and hospitals
- (C) banks and the stock market
- (D) power grids and pipelines

4. A 'bank' is a financial institution that:

- (A) only prints the country's currency
- (B) only builds roads
- (C) collects money as deposits and lends money as loans
- (D) only sells shares to people

5. The claim 'a bank just keeps your money safe in a locker' is wrong because a bank:

- (A) keeps every rupee untouched in a vault
- (B) lends most of the deposits out as loans, keeping only some as reserves
- (C) never lends to anyone
- (D) gives all the money away free

6. A 'savings account' is mainly for:

- (A) a company's daily business with very frequent transactions
- (B) locking money away for a fixed period only
- (C) keeping money safe while earning some interest, with easy withdrawals
- (D) buying shares on the stock market

7. A 'fixed deposit' account:

- (A) allows unlimited daily withdrawals
- (B) locks money away for a set period and usually pays higher interest
- (C) pays no interest at all
- (D) is a share in a company

8. A 'current account' is most suited to:

- (A) a child saving pocket money slowly
- (B) locking savings away for five years
- (C) a business making many transactions each day
- (D) buying a single share

9. A 'deposit' is:

- (A) money placed in a bank account that can be withdrawn and often earns interest
- (B) money borrowed from a bank to repay later
- (C) a share of a company's profit
- (D) the original sum before interest

10. 'Interest' is:

- (A) the original sum of money deposited
- (B) the extra money a bank pays a depositor, or charges a borrower, over time for the use of money
- (C) a share of a company's profit
- (D) a paper cheque

11. 'Compounding' means:

- (A) earning interest on interest already added, so money grows faster over time
- (B) spending money as fast as possible
- (C) keeping money idle with no growth
- (D) losing money to inflation

12. The story of doubling rice grains on a chessboard illustrates:

- (A) how money sits idle in a locker
- (B) how compounding makes amounts grow surprisingly fast
- (C) how cheques are written
- (D) how the RBI prints currency

13. The 'principal' is:

- (A) the interest earned on a deposit
- (B) a share of company profit
- (C) the original sum of money lent or saved, before any interest is added

(D) the benchmark rate set by the RBI

14. Money left to compound for many years tends to:

- (A) shrink to nothing
- (B) grow faster than money earning simple interest once
- (C) stay exactly the same forever
- (D) turn into a company share

15. A 'loan' is:

- (A) money deposited for safekeeping
- (B) a share of a company
- (C) the RBI's benchmark rate
- (D) an amount borrowed from a bank, to be repaid later with interest

16. 'Credit', from the Latin for 'to trust', is:

- (A) money printed by the RBI
- (B) money lent in the trust that it will be repaid
- (C) a share traded on the market
- (D) a paper cheque

17. When a bank gives a loan, it expects the borrower to:

- (A) never repay anything
- (B) repay less than was borrowed
- (C) become the bank's owner
- (D) repay the amount later, with interest

18. A family borrowing from a bank to build a house is taking a:

- (A) deposit, earning them interest
- (B) dividend from a company
- (C) loan, to be repaid with interest
- (D) share in the bank

19. Banks mainly earn money from:

- (A) printing their own currency
- (B) the gap between the higher interest they charge borrowers and the lower interest they pay depositors
- (C) charging nothing to anyone
- (D) giving away free loans

20. The claim 'money in a savings account just sits idle in the bank' is wrong because the bank:

- (A) locks every rupee away untouched
- (B) loses all the money immediately
- (C) lends most of the deposit out, paying you some interest and charging borrowers more
- (D) prints new money instead

21. Your savings deposited in a bank help the economy by:

- (A) sitting unused in a locker
- (B) being burned for safety
- (C) leaving the country at once
- (D) funding loans for homes, businesses and farms

22. If a bank pays depositors 4% interest and charges borrowers 9%, its earnings come from:

- (A) printing the extra 5% as new notes (B) the 5% difference between the two rates
(C) the depositors paying a fee of 9% (D) a dividend from the RBI

23. Banks connect:

- (A) only the rich with each other (B) only foreign countries
(C) only the government with itself
(D) savers (who deposit) and borrowers (who take loans)

24. The 'Jan Dhan Yojana' (2014) aimed to make banking:

- (A) available only to the wealthy (B) illegal for ordinary people
(C) replaced by barter
(D) inclusive, so that everyone could have a bank account

25. The Jan Dhan Yojana was launched in:

- (A) 1935 (B) 1950
(C) 1853 (D) 2014

26. Making banking 'inclusive' through Jan Dhan matters because it:

- (A) keeps banks closed to the poor (B) removes the need for banks
(C) brings savings, payments and credit within reach of all, not just the well-off
(D) gives free money to everyone

27. The 'Reserve Bank of India' (RBI) is best described as:

- (A) India's central bank, the 'banker to banks'
(B) an ordinary bank where people open savings accounts
(C) a stock market (D) a private moneylender

28. The RBI was established in:

- (A) 2014 (B) 1935
(C) 1950 (D) 1853

29. The claim 'the RBI is just another bank where people open accounts' is wrong because:

- (A) the RBI is the central bank; the commercial banks themselves keep accounts at the RBI
(B) the RBI has no role in banking (C) ordinary people bank only at the RBI
(D) the RBI is a foreign bank

30. One key job of the RBI is to:

- (A) sell shares to the public (B) build highways
(C) print the country's currency (D) run village schools

31. Calling the RBI the 'banker to banks' means it:

- (A) opens savings accounts for schoolchildren
(B) holds accounts for, and lends to, the commercial banks
(C) sells groceries (D) builds dams

- 32.** The RBI also supervises the banking system, which means it:
- (A) ignores what banks do
 - (B) competes with banks for customers
 - (C) prints shares for companies
 - (D) regulates banks to keep the system safe and sound
- 33.** The 'benchmark interest rate' is:
- (A) the base interest rate the RBI fixes for lending money to commercial banks
 - (B) the price of a single company share
 - (C) the fee for a cheque
 - (D) a dividend paid to savers
- 34.** By changing the benchmark interest rate, the RBI can influence:
- (A) the height of buildings
 - (B) the number of airports
 - (C) the price of a single share only
 - (D) how cheaply or dearly banks lend, and thus borrowing across the economy
- 35.** 'Inflation', which the RBI tries to keep in check, is:
- (A) a general rise in prices over time, so money buys less
 - (B) a fall in prices, so money buys more
 - (C) the printing of cheques
 - (D) a share of company profit
- 36.** The RBI trying to keep inflation in check helps because:
- (A) rising prices always help everyone
 - (B) the value of money does not matter
 - (C) stable prices protect the value of people's money
 - (D) inflation is good without limit
- 37.** A 'cheque' is:
- (A) a paper instrument that orders a bank to pay a named person from your account
 - (B) a unit of ownership in a company
 - (C) the central bank of India
 - (D) the interest on a deposit
- 38.** Compared with a paper cheque, an electronic transfer is usually:
- (A) much slower than a cheque
 - (B) impossible to do
 - (C) a way to print new money
 - (D) faster, moving money between accounts almost instantly
- 39.** Whether by cheque or electronic transfer, what actually moves is:
- (A) a brand-new currency each time
 - (B) the same rupees, between bank accounts
 - (C) company shares
 - (D) printed paper notes only
- 40.** 'UPI' stands for:
- (A) a unit of ownership in a company
 - (B) the central bank of India
 - (C) a paper cheque
 - (D) Unified Payments Interface, an instant electronic payment system used on a smartphone

- 41.** UPI is described in the chapter as:
(A) 'India's gift to the world' (B) a foreign invention India copied
(C) a kind of paper cheque (D) the central bank
- 42.** Paying a shopkeeper instantly by scanning a code on your phone uses:
(A) a paper cheque
(B) UPI, moving rupees between bank accounts
(C) a company share (D) a fixed deposit
- 43.** UPI and electronic transfers are best described as:
(A) faster ways to move the same money, not a new kind of money
(B) a brand-new currency replacing the rupee (C) a form of barter
(D) company shares
- 44.** A 'share' is:
(A) money deposited in a savings account (B) a loan from a bank
(C) a unit of ownership in a company; buying one makes you a part-owner
(D) the benchmark interest rate
- 45.** The 'stock market' is a place where people:
(A) buy and sell shares in companies (B) deposit money for safekeeping only
(C) print the country's currency (D) take out home loans
- 46.** Buying a share in a company makes you:
(A) a part-owner of that company (B) a lender to the bank
(C) an employee of the company (D) the owner of the whole company
- 47.** A 'dividend' is:
(A) the share of a company's profit paid to each shareholder
(B) the interest a bank pays on a deposit (C) the original sum saved
(D) a paper cheque
- 48.** A shareholder may earn money when the company:
(A) only when it goes bankrupt
(B) makes a profit and pays a dividend, or the share's price rises
(C) only by printing money (D) only by issuing cheques
- 49.** The stock market is part of India's:
(A) transport infrastructure (B) social infrastructure
(C) financial infrastructure (D) energy infrastructure
- 50.** The claim 'buying shares is just like a savings account - the money is sure to grow' is wrong because:
(A) shares always grow faster than savings, with no risk
(B) shares can never lose value

- (C) shares can rise OR fall with the company and the market, so they carry real risk
- (D) a savings account is riskier than shares

51. A key difference between a savings deposit and a share is that a savings deposit:

- (A) is safe and earns fixed interest, while a share is an investment that can gain or lose value
- (B) can lose value while a share is always safe
- (C) is a company ownership unit while a share is a deposit
- (D) pays a dividend while a share pays interest

52. Shares are best described as:

- (A) a guaranteed, risk-free way to grow money
- (B) the same as a fixed deposit
- (C) an investment carrying risk, not a guaranteed saving
- (D) money kept in a locker

53. The claim 'it's fine to share your OTP if the caller says they are from your bank' is wrong because:

- (A) banks always need your OTP over the phone
- (B) sharing an OTP keeps your money safe
- (C) only foreigners commit fraud
- (D) a genuine bank never asks for your OTP, PIN or password - anyone who does is trying to commit fraud

54. To stay safe with digital money, you should:

- (A) share your PIN with any caller
- (B) write your password on your card
- (C) post your OTP online
- (D) never share your OTP, PIN or password with anyone

55. If someone calls pretending to be from your bank and asks for your OTP, you should:

- (A) refuse, and report it on the cyber-fraud helpline 1930
- (B) give them the OTP immediately
- (C) give them your PIN as well
- (D) thank them and send money

56. The cyber-fraud helpline number given in the chapter is:

- (A) 1935
- (B) 1930
- (C) 2014
- (D) 1853

57. The word 'bank' comes from the Italian 'banca', meaning:

- (A) 'cheque'
- (B) 'currency'
- (C) 'company'
- (D) 'bench' - medieval moneylenders worked at benches in markets

58. The word 'bankrupt' comes from 'banca rotta', meaning:

- (A) a full vault of gold
- (B) a new company share
- (C) a printed bank note

(D) a 'broken bench' - a moneylender who had failed

59. 'Finance', from the Latin 'finis' ('end'), once meant settling a debt and now means:

- (A) the management of money - saving, lending and investing
- (B) the building of roads
- (C) the flying of aircraft
- (D) the growing of crops

60. A student says, 'A bank just stores money in a locker, the RBI is where I open my account, and shares are a safe, sure way to grow money.' The best correction is:

- (A) all three statements are correct
- (B) a bank stores money but the RBI is for accounts
- (C) shares are safe but a bank does lend money
- (D) a bank lends most deposits out, the RBI is the banker to banks (not for ordinary accounts), and shares carry real risk

Solutions — Social Science (Class 7), Chapter 20: Banks and the Magic of Finance

Marking: +4 correct, –1 wrong, 0 unattempted. Maximum marks **240**.

Answer Key

Q	Ans	Q	Ans	Q	Ans	Q	Ans	Q	Ans	Q	Ans
1	C	11	A	21	D	31	B	41	A	51	A
2	B	12	B	22	B	32	D	42	B	52	C
3	C	13	C	23	D	33	A	43	A	53	D
4	C	14	B	24	D	34	D	44	C	54	D
5	B	15	D	25	D	35	A	45	A	55	A
6	C	16	B	26	C	36	C	46	A	56	B
7	B	17	D	27	A	37	A	47	A	57	D
8	C	18	C	28	B	38	D	48	B	58	D
9	A	19	B	29	A	39	B	49	C	59	A
10	B	20	C	30	C	40	D	50	C	60	D

Answer-key distribution: A = 15, B = 15, C = 15, D = 15.

Worked Solutions

1. (C) Financial infrastructure is banks, payment systems, stock markets and institutions that move and manage money. Roads are physical infrastructure, schools social, and the army state machinery.

2. (B) Financial infrastructure complements physical infrastructure, moving money rather than goods. It does not replace, destroy, or stand apart from it.

3. (C) Banks and the stock market are financial infrastructure. Highways and ports are transport, schools and hospitals social, and grids and pipelines physical-utility infrastructure.

4. (C) A bank collects deposits and lends loans. Printing currency is the RBI's job, road-building is not a bank's, and selling shares is the stock market.

5. (B) A bank lends most deposits out as loans, keeping some as reserves - connecting savers and borrowers. It does not keep every rupee idle, refuse to lend, or give money away.

- 6. (C)** A savings account keeps money safe, earns interest and allows easy withdrawals. Heavy daily business use is a current account, locking money for a period is a fixed deposit, and buying shares is the stock market.
- 7. (B)** A fixed deposit locks money for a set period at higher interest. It is not for unlimited withdrawals, interest-free, or a company share.
- 8. (C)** A current account suits businesses with frequent daily transactions. Slow saving suits a savings account, locking money a fixed deposit, and share-buying the stock market.
- 9. (A)** A deposit is money placed in a bank, withdrawable and often interest-earning. Borrowed money is a loan, a profit share is a dividend, and the original sum is the principal.
- 10. (B)** Interest is the extra money paid or charged over time for the use of money. The original sum is the principal, a profit share a dividend, and a cheque a payment instrument.
- 11. (A)** Compounding is earning interest on interest, speeding growth. It is not fast spending, idle money, or losing to inflation.
- 12. (B)** The doubling rice grains show how compounding grows amounts surprisingly fast. It is not about idle money, cheques, or printing currency.
- 13. (C)** The principal (Latin *principalis*, 'chief') is the original sum before interest. Interest, a dividend and the benchmark rate are different.
- 14. (B)** Compounding (interest on interest) makes money grow faster over time than a single simple-interest payment. It does not shrink, stay fixed, or become a share.
- 15. (D)** A loan is borrowed money repaid later with interest. A deposit is money kept safe, a share is company ownership, and the benchmark rate is set by the RBI.
- 16. (B)** Credit (Latin *credere*, 'to trust') is money lent in trust of repayment. It is not printed currency, a share, or a cheque.
- 17. (D)** A borrower repays the loan with interest. They do not repay nothing, repay less, or become the bank's owner.
- 18. (C)** Borrowing to build a house is a loan, repaid with interest. A deposit earns interest for the saver, a dividend is a profit share, and a share is company ownership.
- 19. (B)** Banks earn from charging borrowers more interest than they pay depositors. They do not print currency, charge nothing, or give free loans.

- 20. (C)** The bank lends most of your deposit out, keeping your savings working in the economy. It does not lock it away, lose it, or print money.
- 21. (D)** Deposited savings are lent out to fund homes, businesses and farms. They are not idle, burned, or sent abroad.
- 22. (B)** The bank earns the 5% gap between what it charges and what it pays. It does not print the difference, charge depositors 9%, or get an RBI dividend.
- 23. (D)** Banks connect savers and borrowers, channelling deposits into loans. They are not for the rich only, foreign-only, or the government alone.
- 24. (D)** The Jan Dhan Yojana (2014) made banking inclusive, helping everyone open accounts. It was not for the wealthy only, illegal, or a return to barter.
- 25. (D)** The Jan Dhan Yojana was launched in 2014. 1935 is the RBI's founding, 1950 the Constitution, and 1853 the railways.
- 26. (C)** Inclusive banking brings savings, payments and credit to everyone, not just the well-off. It does not exclude the poor, remove banks, or give free money.
- 27. (A)** The RBI is India's central bank, the banker to banks. It is not an ordinary people's bank, the stock market, or a private lender.
- 28. (B)** The RBI was established in 1935. 2014 is Jan Dhan, 1950 the Constitution, and 1853 the railways.
- 29. (A)** The RBI is the central bank - commercial banks keep accounts there, not ordinary people. It is central to banking, not a people's bank, and not foreign.
- 30. (C)** The RBI prints the country's currency (and supervises banking). Selling shares is the stock market, and highways and schools are other infrastructure.
- 31. (B)** As 'banker to banks', the RBI holds accounts for and lends to commercial banks. It does not serve schoolchildren's accounts, sell groceries, or build dams.
- 32. (D)** The RBI regulates and supervises banks to keep the system safe. It does not ignore banks, compete for retail customers, or print shares.
- 33. (A)** The benchmark rate is the RBI's base rate for lending to commercial banks. It is not a share price, a cheque fee, or a dividend.
- 34. (D)** Changing the benchmark rate affects how cheaply banks lend, shaping borrowing across the economy. It does not set building heights, airport counts, or one share's price.
- 35. (A)** Inflation (Latin inflare, 'to blow up') is a general rise in prices, reducing money's buying power; the RBI tries to control it. It is not falling prices, cheques, or a dividend.

- 36. (C)** Keeping inflation in check protects the value of money. Runaway rising prices erode savings, money's value does matter, and unlimited inflation is harmful.
- 37. (A)** A cheque orders a bank to pay a named person from your account. A company unit is a share, the central bank is the RBI, and interest is a separate thing.
- 38. (D)** Electronic transfers move money between accounts almost instantly, faster than a cheque. They are not slower, impossible, or money-printing.
- 39. (B)** Cheques and electronic transfers move the same rupees between accounts. They do not create a new currency, move shares, or require paper notes.
- 40. (D)** UPI is the Unified Payments Interface, an instant smartphone payment system. A company unit is a share, the central bank is the RBI, and a cheque is paper.
- 41. (A)** UPI is called 'India's gift to the world'. It is not a foreign copy, a paper cheque, or the central bank.
- 42. (B)** A phone-code instant payment is UPI, moving rupees between accounts. It is not a cheque, a share, or a fixed deposit.
- 43. (A)** UPI and electronic transfers move the same rupees faster - new methods, not new money. They are not a new currency, barter, or shares.
- 44. (C)** A share is a unit of ownership in a company, making the buyer a part-owner. It is not a deposit, a loan, or the benchmark rate.
- 45. (A)** The stock market is where shares in companies are bought and sold. Safe deposits are at banks, currency is printed by the RBI, and home loans come from banks.
- 46. (A)** Buying a share makes you a part-owner of the company. It does not make you a bank lender, an employee, or the sole owner.
- 47. (A)** A dividend (Latin dividendum, 'a thing to be divided') is a shareholder's share of company profit. Deposit interest, the principal and a cheque are different.
- 48. (B)** A shareholder earns through dividends from profit or a rising share price. Bankruptcy, printing money and cheques are not how shareholders earn.
- 49. (C)** The stock market is financial infrastructure. It is not transport, social, or energy infrastructure.
- 50. (C)** Shares can rise or fall, carrying real risk, unlike a fixed-interest savings deposit. They are not risk-free, can lose value, and are riskier than savings, not less.
- 51. (A)** A savings deposit is safe with fixed interest; a share can gain or lose value. The other options reverse or confuse the two.

- 52. (C)** Shares are a risky investment, not a guaranteed saving. They are not risk-free, the same as a fixed deposit, or locker money.
- 53. (D)** A genuine bank never asks for your OTP, PIN or password; anyone who does is a fraudster. Sharing it endangers your money, and fraud is not foreigner-only.
- 54. (D)** Staying safe means never sharing your OTP, PIN or password. Sharing them with callers, writing them on cards, or posting them online invites fraud.
- 55. (A)** Refuse to share the OTP and report the fraud attempt on helpline 1930. Giving the OTP or PIN, or sending money, would help the fraudster.
- 56. (B)** The cyber-fraud helpline is 1930. 1935 is the RBI's founding year, 2014 Jan Dhan, and 1853 the railways.
- 57. (D)** Bank is from Italian banca ('bench'); a failed moneylender had his banca rotta ('broken bench'), giving 'bankrupt'. It is not from cheque, currency, or company.
- 58. (D)** Bankrupt comes from banca rotta ('broken bench'), a failed moneylender. It is not a gold vault, a share, or a note.
- 59. (A)** Finance (Latin finis, 'end') now means managing money - saving, lending and investing. It is not road-building, aviation, or farming.
- 60. (D)** A bank lends most deposits out, the RBI is the banker to banks (not for ordinary accounts), and shares carry real risk - correcting all three errors. The other options keep one or more misconceptions.